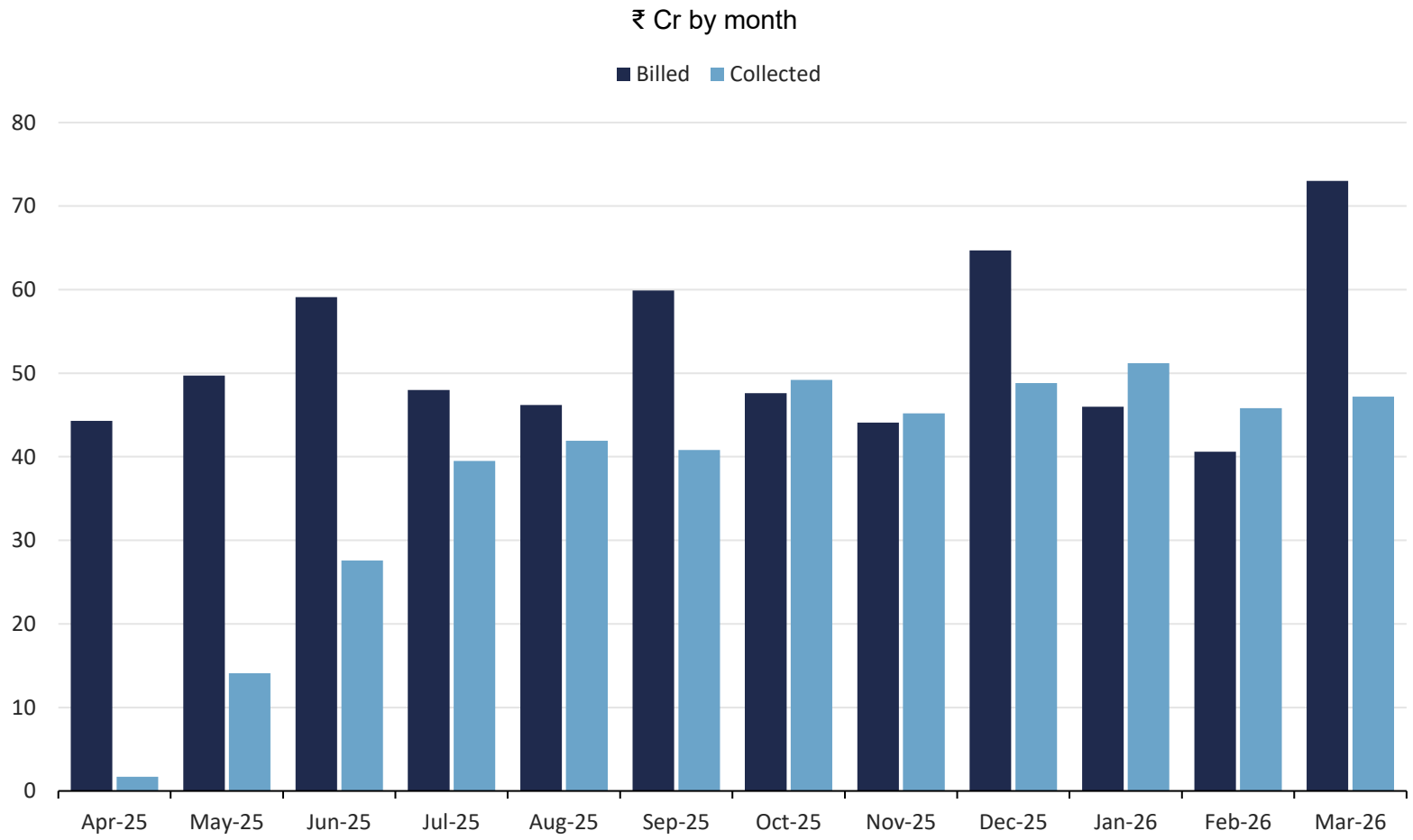
Receivables review, FY 2025-26

Where the cash is stuck, and what to do about it in Q1

Leadership discussion | April 2026
Prepared by Siddhant Gulati

Collections lagged billing most of the year; a March spike took AR to ₹170.3 Cr

Billed ₹623.4 Cr and collected ₹453.1 Cr in FY 2025-26; DSO moved from 65 days in June to 96 days in March



Slow start. Collections first exceeded billing in October, once the first quarter's invoices fell due.

March spike. Billing of ₹73.0 Cr in March (the year's high) added ₹25.7 Cr to AR in a single month.

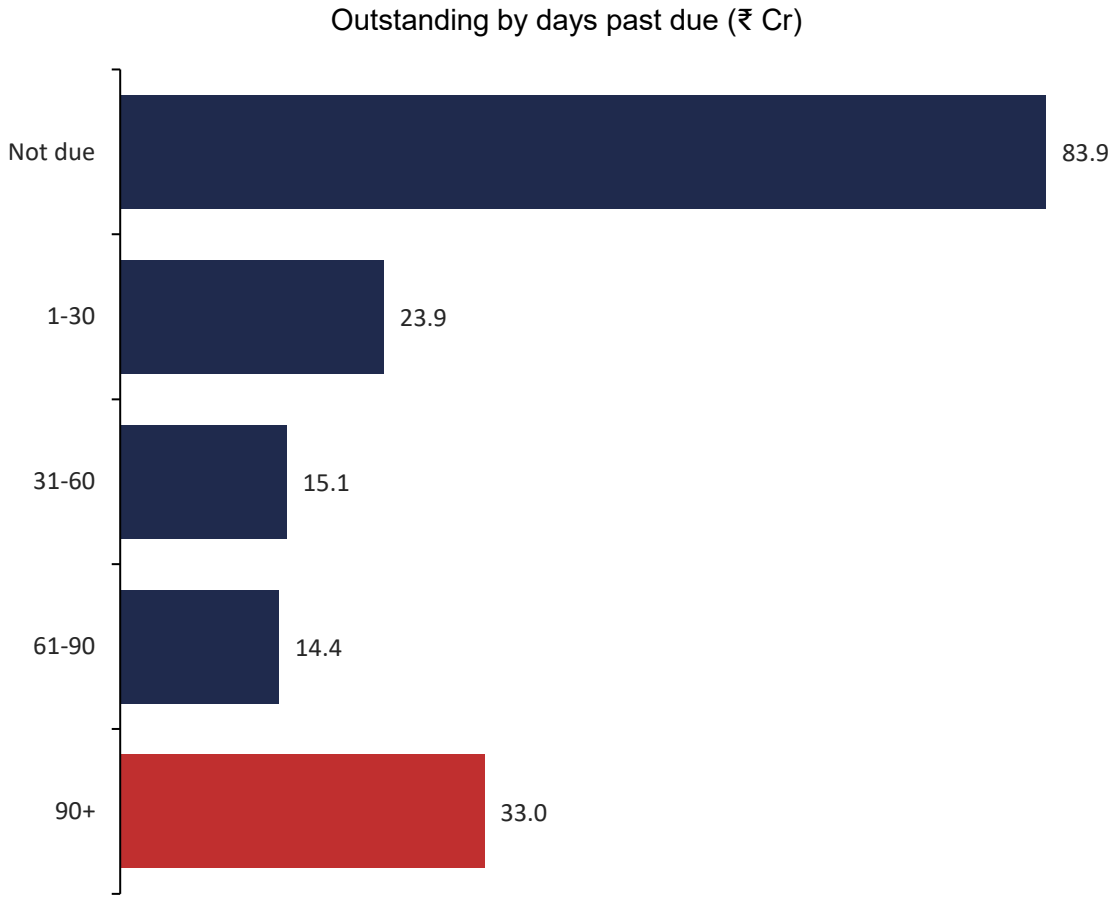
Efficiency. 72.7% of what was billed in the year was collected by 31 March.

Watch. DSO of 96 days is well above the 30-60 day terms in the client master.

Source: Finance Operations MIS, FY 2025-26 (as of 31-Mar-2026). Amounts gross of GST.

₹33.0 Cr (19.4% of AR) is more than 90 days past due

Energy & Infra clients make up ₹15.2 Cr of the 90+ bucket on their own



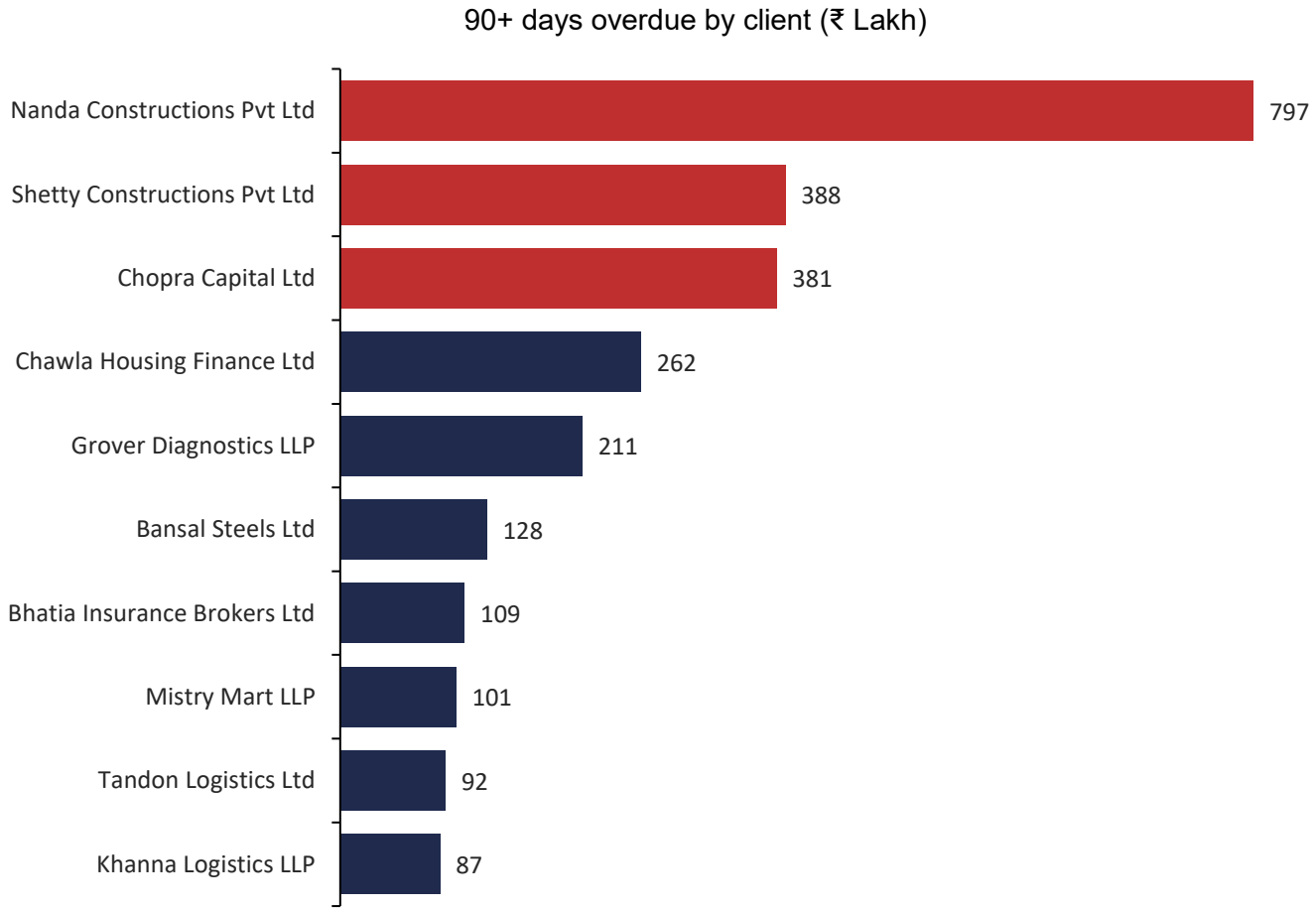
Industry	Total AR	90+	90+ share
Energy & Infra	64.3	15.2	24%
BFSI	34.4	8.0	23%
Healthcare	22.1	3.5	16%
Retail & FMCG	21.4	2.8	13%
Manufacturing	17.1	2.4	14%
Technology	11.0	1.1	10%

Energy & Infra has the largest book and the highest share of it past 90 days. Project-based clients tend to hold payments until milestones are signed off.

Source: Finance Operations MIS, FY 2025-26 (as of 31-Mar-2026). Amounts gross of GST.

Ten clients hold 77% of the 90+ overdue, but only 33% of billing

A targeted push on a short list will move the number more than a blanket reminder campaign



Top 3 = ₹15.7 Cr. Nanda Constructions Pvt Ltd alone is ₹8.0 Cr, more than the next two combined.

Credit risk lines up. All ten are rated B or BB in the client master, so the overdue is not random.

Terms are not the issue. Most of these clients are on 30 or 45 day terms and are paying well past them.

Source: Finance Operations MIS, FY 2025-26 (as of 31-Mar-2026). Amounts gross of GST.

Recommended actions for Q1 FY 2026-27

Aim: bring 90+ overdue down by a third and DSO under 80 days by 30 June 2026

#	Action	What it involves	Owner	When
1	**Escalate the top 3 accounts**	Partner-led calls with Nanda, Shetty and Chopra; agree dated payment plans	Engagement partners + AR	Week 1-2
2	**Weekly 90+ review**	One page from this MIS every Monday: movement by client and by owner	Finance Ops	From Week 1
3	**Tighten terms for B/BB clients**	Milestone billing with advance or retainer on new work for low-rated clients	Risk + Business heads	New SOWs
4	**Fix data issues at source**	Two duplicate receipts and one unmatched payment found; add a check at receipt posting	Finance IT	Month 1
5	**Track it**	Add a DSO and 90+ target line to the dashboard and report progress monthly	Finance Ops	Monthly

Targets are proposals for discussion. Owners to be confirmed with Finance and Business Operations.